

position on the BSE. On Wednesday morning, they would shift their positions back to the NSE by closing out their positions on the BSE and taking fresh positions on the NSE. In this way, they could keep carrying forward their trades on the NSE even though it did not have a formal carry-forward mechanism.

The NSE was run by professionals and did not have even a single broker member on its board. In comparison, the BSE's governing board was packed with brokers, and the officials in charge of operations complained of frequent interference by influential brokers. Above all, the NSE's big advantage over the BSE was its pan-India reach, offering services across the country. The BSE had to wait for some months before it could expand beyond Bombay. That head start made quite a difference, as the NSE had already made a mark for itself in many of the smaller towns by the time the BSE came calling.

NSE's biggest contribution to the stockbroking industry was the vast new breed of brokers it spawned. Anybody could become an NSE member by paying a deposit fee and clearing an exam. The day the member wanted to opt out, his deposit would be returned. The closed club culture of the BSE only worked to the advantage of the NSE. The number of membership seats, or cards, as they were called, on BSE was limited. Anybody aspiring to become a member had to buy a card from an existing member. This arrangement helped keep the price of the membership card very high because there were very few sellers. At the peak of the rush for BSE membership, ING Barings bought a seat for a whopping Rs 4 crore. Never was a BSE card sold for anywhere close to that price ever again.

The BSE brokers found the deposit concept of membership laughable, as did the brokers on the Calcutta and Delhi bourses. For the many aspiring brokers who were kept out by the powerful broker lobbies of the Bombay, Calcutta and Delhi Stock Exchanges, the NSE was the answer to their dreams. As for investors, they had been at the mercy of the whims of the brokers in the big city, and stood to benefit hugely.

As much as they derided the NSE in public, many of the large the BSE brokers privately applied for membership on the NSE. They wanted to hedge their positions. They were convinced that the NSE would flop, but just in case it did well they did not want to lose out on clients.

Electronic trading was a grand concept, but there were plenty of operational issues. For instance, if the broker was located in Mumbai, it was